Daewoo E&C (047040 KS)

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Stellar profitability; order wins final piece

BUY (M)

Target price	W24,000 (M)
Previous target price	W24,000
Current price (Oct 27)	W14,450
Upside potential	66%

Market cap (Wbn)	5,937
Shares outstanding	410,885,720
Avg daily T/O (2M, Wbn)	112
Avg daily volume (2M, shrs)	6,355,518
52-week high/low (won)	37,150 / 3,360
Foreign ownership (%)	9.83%
Dividend yield (%)	0.00%
Major shareholders	Jungheung Civil Engineering and Building & others

Stock performance

(%)	1M	3M	12M
Absolute	(17.1)	(4.8)	273.9
Relative	4.1	14.1	168.1
Abs (US$)	(15.0)	5.6	304.4

3Q26 review: OP meets our estimate, 8% above consensus

Daewoo E&C reported 3Q26 consolidated sales of W1,842.4bn (-7.4% YoY) and OP of W183.2bn (+223.8% YoY; OPM 9.9%). OP was broadly in line with our estimate of W175.5bn and beat consensus of W169.3bn by 8.2%.

Housing/building gross margin reached 23.7% (+12.2ppt YoY), exceeding 20% for the third consecutive quarter. Even excluding approximately W96.0bn in one-off gains from revisions to estimated cost ratios at completion and profit adjustments upon project completion, the segment's gross margin was in the low-16% range. This suggests underlying profitability has improved from our previous normalized estimate of 15.6%, prompting us to raise our 4Q23 forecast to 16.8%. In the plant segment, we expect 2H sales to decline from 1H as construction work at most existing projects winds down. The segment's GPM came to 6.3%, reflecting cost pressure from lower sales and additional mechanical and piping costs at Nigeria's Train 7 project.

Order wins are the final piece

Cumulative new orders for 1Q-3Q26 totaled W12.48tn (+11.9% YoY), 46.2% of full-year guidance of W27tn. With five major projects estimated at W3–5tn each, we believe securing roughly half or more of these opportunities would allow the company to meet its guidance. With only two months remaining in 2026, however, contract awards could slip into early 2027 depending on negotiations with clients. We view this as a potential delay in contract timing, rather than reduced visibility on securing projects in the pipeline.

Maintain BUY and target price of W24,000

We maintain BUY and our target price of W24,000. As revenue contributions from projects in Turkmenistan and Mozambique ramp up next year, we forecast plant business sales growth at 24.7% YoY and see room to revise up our gross margin estimate for the business. Civil engineering sales are also expected to rebound, rising an estimated 12.4% YoY next year, supported by newly secured domestic orders.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,842	-7.4	-9.8	1,989	-7.4
OP	183	223.8	-21.1	162	12.8
Pre-tax net profit	106	TTB	-49.8	130	-18.3
Net profit, CI	82	TTB	-50.9	99	-18.0
OPM (%)	9.9	+7.1 %pt	-1.5 %pt	8.2	+1.7 %pt
NPM (%)	4.4	TTB	-3.7 %pt	5.0	-0.6 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	10,504	8,055	7,726	9,111
OP	403	-815	850	843
Net profit, CI	234	-912	552	544
P/E (x)	6.8	-1.7	10.8	10.9
P/B (x)	0.4	0.4	1.5	1.2
EV/EBITDA (x)	6.9	-4.7	7.6	7.3
ROE (%)	5.6	-23.9	14.9	12.2

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Daewoo E&C: earnings trend and forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales	**2,076.7**	**2,273.3**	**1,990.6**	**1,714.0**	**1,951.4**	**2,043.5**	**1,842.4**	**1,889.0**	**8,054.6**	**7,726.3**	**9,111.0**
% YoY	-16.5%	-19.4%	-21.9%	-35.2%	-6.0%	-10.1%	-7.4%	10.2%	-23.3%	-4.1%	17.9%
Civil engineering	415.0	427.3	408.9	152.9	350.6	392.7	316.1	334.4	1,404.1	1,393.8	1,566.7
Housing/building	1,381.6	1,475.7	1,322.0	1,329.1	1,273.2	1,392.4	1,300.1	1,276.6	5,508.4	5,242.3	6,080.3
Plant	227.0	258.6	219.5	136.0	284.0	227.5	187.1	191.6	841.1	890.2	1,110.2
Consolidated subsidiaries, etc	53.1	111.7	40.2	96.0	43.6	30.9	39.1	86.4	301.0	200.0	353.7
Gross profit	**250.7**	**248.2**	**173.1**	**(433.6)**	**363.5**	**350.2**	**369.2**	**288.7**	**238.4**	**1,371.6**	**1,382.5**
% YoY	16.7%	-9.9%	2.3%	TTR	45.0%	41.1%	113.3%	TTB	-74.3%	475.3%	0.8%
Civil engineering	36.2	(12.6)	(23.0)	(498.7)	31.0	37.7	41.1	30.1	(498.1)	139.9	141.0
Housing/building	149.5	176.3	152.2	159.2	264.6	301.0	308.7	213.8	637.2	1,088.1	1,018.5
Plant	51.4	48.4	34.7	(148.6)	47.0	7.7	11.8	15.3	(14.1)	81.8	129.8
Consolidated subsidiaries, etc	13.6	36.1	9.2	54.5	20.9	3.8	7.6	29.5	113.4	61.8	93.2
OP	**151.3**	**82.2**	**56.6**	**(1,105.5)**	**255.6**	**232.2**	**183.2**	**178.4**	**(815.4)**	**849.5**	**842.5**
% YoY	31.8%	-21.5%	-9.2%	TTR	68.9%	182.6%	223.8%	TTB	TTR	TTB	-0.8%
Pretax profit	**95.7**	**(51.2)**	**(55.6)**	**(1,197.8)**	**267.3**	**211.6**	**106.2**	**150.6**		**735.7**	**721.5**
% YoY	-29.8%	TTR	TTR	TTR	179.2%	TTB	TTB	TTB	TTR	TTB	-1.9%
Net profit, CI	**55.9**	**(43.3)**	**(53.4)**	**(871.6)**	**194.3**	**166.2**	**81.6**	**109.8**	**(912.3)**	**551.9**	**543.6**
% YoY	-36.7%	TTR	TTR	TTR	247.3%	TTB	TTB	TTB	TTR	TTB	-1.5%
Profitability											
Gross margin	**12.1%**	**10.9%**	**8.7%**	**-25.3%**	**18.6%**	**17.1%**	**20.0%**	**15.3%**	**3.0%**	**17.8%**	**15.2%**
Civil engineering	8.7%	-2.9%	-5.6%	-326.2%	8.8%	9.6%	13.0%	9.0%	-35.5%	10.0%	9.0%
Housing/building	10.8%	11.9%	11.5%	12.0%	20.8%	21.6%	23.7%	16.8%	11.6%	20.8%	16.8%
Plant	22.6%	18.7%	15.8%	-109.3%	16.5%	3.4%	6.3%	8.0%	-1.7%	9.2%	11.7%
Consolidated subsidiaries, etc	25.6%	32.3%	22.9%	56.8%	47.9%	12.3%	19.4%	34.1%	37.7%	30.9%	26.4%
OPM	**7.3%**	**3.6%**	**2.8%**	**-64.5%**	**13.1%**	**11.4%**	**9.9%**	**9.4%**	**-10.1%**	**11.0%**	**9.2%**
Pretax margin	**4.6%**	**-2.3%**	**-2.8%**	**-69.9%**	**13.7%**	**10.4%**	**5.8%**	**8.0%**	**-15.0%**	**9.5%**	**7.9%**
Net margin, CI	**2.7%**	**-1.9%**	**-2.7%**	**-50.9%**	**10.0%**	**8.1%**	**4.4%**	**5.8%**	**-11.3%**	**7.1%**	**6.0%**

Note: TTR = turn to red, TTB = turn to black
Source: company data, Yuanta Securities

3Q26 OP in line with our estimate, 8% above consensus (Wbn)

	3Q26P	3Q25	% YoY	2Q26	% QoQ	Consens	Diff (%)	Our est	Diff (%)
Sales	1,842.4	1,990.6	-7.4	2,043.5	-9.8	1,974.0	-6.7	1,967.9	-6.4
OP	183.2	56.6	223.8	232.2	-21.1	169.3	8.2	175.5	4.4
Pretax profit	106.2	(55.6)	TTB	211.6	-49.8	146.8	-27.6	139.6	-23.9
Net profit, CI	81.6	(53.4)	TTB	166.2	-50.9	108.2	-24.6	110.2	-25.9
OPM	9.9%	2.8%		11.4%		8.6%		8.9%	
Pretax margin	5.8%	-2.8%		10.4%		7.4%		7.1%	
Net margin, CI	4.4%	-2.7%		8.1%		5.5%		5.6%	

Note: CI = controlling interest
Source: company data, Yuanta Securities

Earnings forecast comparison: our estimate vs consensus (Wbn)

	2026E			2027E		
	Our est	Consensus	Diff (%)	Our est	Consensus	Diff (%)
Sales	7,726.3	8,069.2	-4.2	9,111.0	9,135.6	-0.3
OP	849.5	861.5	-1.4	842.5	880.1	-4.3
Pretax profit	735.7	787.0	-6.5	721.5	787.0	-8.3
Net profit, CI	551.9	583.7	-5.4	543.6	574.9	-5.4
OPM	11.0%	10.7%		9.2%	9.6%	
Pretax margin	9.5%	9.8%		7.9%	8.6%	
Net margin, CI	7.1%	7.2%		6.0%	6.3%	

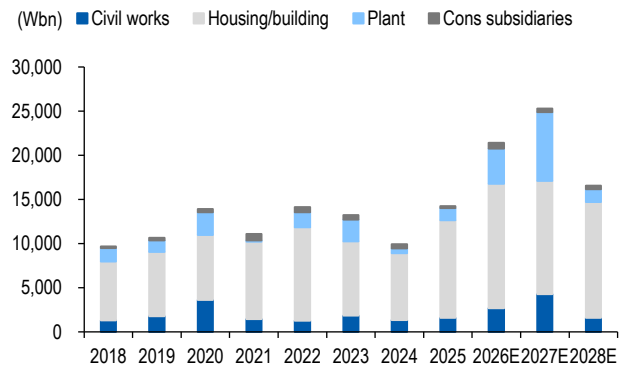
Source: FnGuide Quantiwise, Yuanta Securities

Daewoo E&C: earnings forecast revision (Wbn)

	Old			New			Change (%)		
	3Q26E	2026E	2027E	3Q26P	2026E	2027E	3Q26P	2026E	2027E
Sales	1,967.9	7,970.6	8,787.4	1,842.4	7,726.3	9,111.0	-6.4%	-3.1%	3.7%
OP	175.5	867.4	818.5	183.2	849.5	842.5	4.4%	-2.1%	2.9%
OPM	8.9%	10.9%	9.3%	9.9%	11.0%	9.2%	1.0%p	0.1%p	-0.1%p
Pretax profit	139.6	793.0	702.8	106.2	735.7	721.5	-23.9%	-7.2%	2.7%
Net profit, CI	110.2	598.8	535.1	81.6	551.9	543.6	-25.9%	-7.8%	1.6%

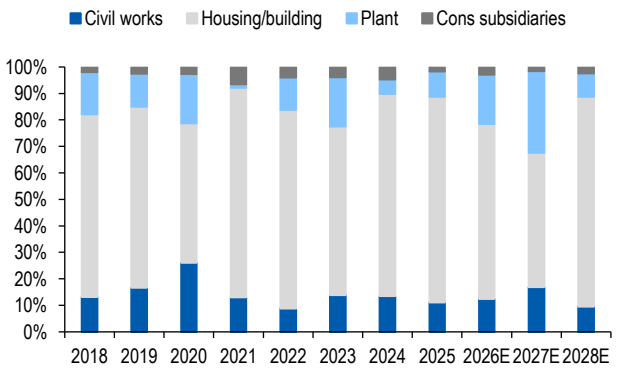
Source: Yuanta Securities

Daewoo E&C: new orders by business



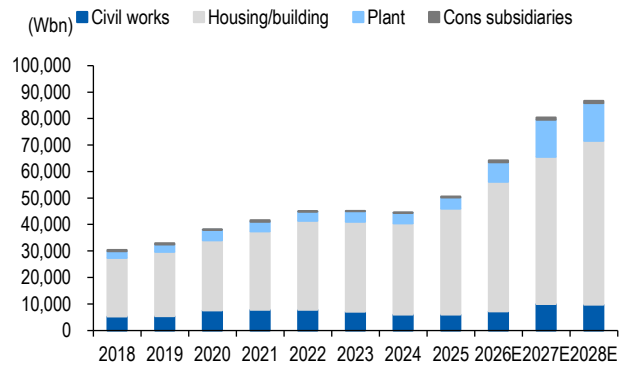
Source: company data, Yuanta Securities

Daewoo E&C: new order share by business



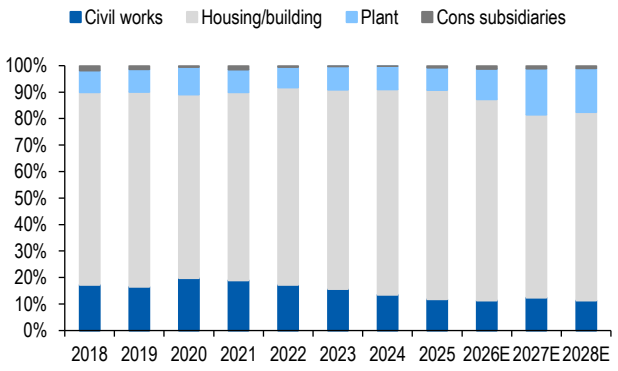
Source: company data, Yuanta Securities

Daewoo E&C: order backlog by business



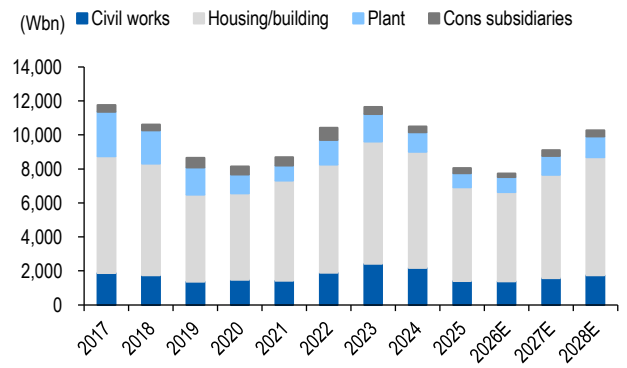
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Daewoo E&C: order backlog share by business



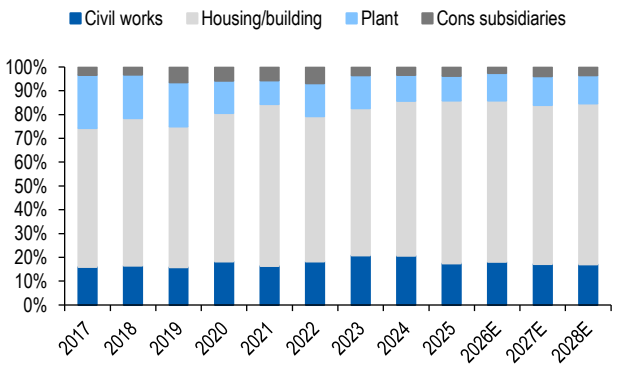
Source: company data, Yuanta Securities

Daewoo E&C: sales by business



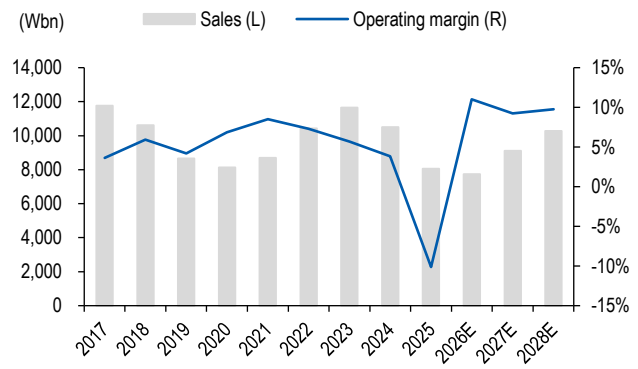
Source: company data, Yuanta Securities

Daewoo E&C: sales share by business



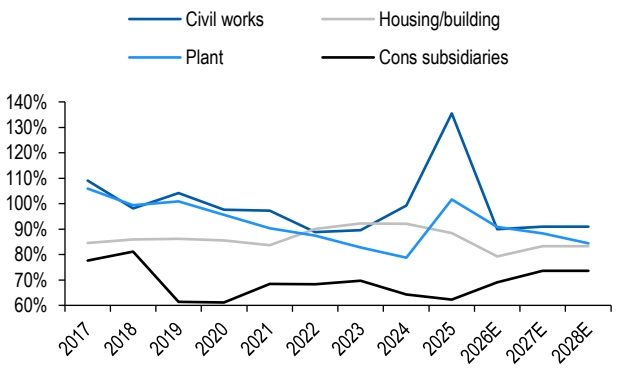
Source: company data, Yuanta Securities

Daewoo E&C: sales and OPM



Source: company data, Yuanta Securities

Daewoo E&C: cost-to-sales ratio by business



Source: company data, Yuanta Securities

Daewoo E&C (047040 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**10,504**	**8,055**	**7,726**	**9,111**	**10,266**
Cost of sales	9,576	7,816	6,355	7,728	8,663
Gross profit	928	238	1,372	1,383	1,603
SG&A	524	1,054	522	540	600
Operating profit	**403**	**-815**	**850**	**843**	**1,003**
EBITDA	526	-701	959	946	1,089
Non-operating profit	-45	-393	-72	-121	-131
Forex gains	134	-84	-20	0	0
Net interest income	-57	-59	-117	-122	-111
Equity-method gains	0	-46	-12	0	0
Other	-122	-205	77	1	-20
Net prof before income tax	358	-1,209	736	721	872
Income tax	116	-293	175	166	206
Net profit from continuing ops	243	-916	561	556	666
Net profit from discontinued ops	0	0	0	0	0
Net profit	243	-916	561	556	666
NP for controlling interest	**234**	**-912**	**552**	**544**	**655**
Total comprehensive income	239	-948	754	750	861
Total comprehensive income, CI	233	-943	738	738	846

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**9,589**	**9,923**	**11,653**	**13,208**	**14,863**
Cash & cash equivalents	1,162	1,829	2,732	3,023	3,527
Accounts receivables & other	4,683	4,276	4,713	5,381	5,923
Inventory	1,945	2,428	2,675	3,055	3,442
Non-current assets	3,070	3,436	3,542	3,655	3,798
Tangible assets	380	452	491	472	480
Investment in affiliates	124	172	189	216	244
Other investment assets	885	1,017	1,100	1,212	1,326
Total assets	**12,658**	**13,359**	**15,195**	**16,863**	**18,661**
Current liabilities	4,544	5,111	6,115	6,765	7,429
Accounts payable & other	2,664	3,095	3,411	3,894	4,388
ST financial liabilities	659	366	400	400	400
Liquid LT liabilities	542	586	1,132	1,132	1,132
Non-current liabilities	3,780	4,773	4,857	5,124	5,397
LT financial liabilities	2,164	2,126	2,705	2,705	2,705
Debentures	306	653	0	0	0
Total liabilities	**8,324**	**9,884**	**10,972**	**11,890**	**12,826**
Equity, controlling interest	4,291	3,348	4,079	4,818	5,668
Paid-in capital	2,078	2,078	2,078	2,078	2,078
Capital surplus	562	562	562	562	562
Retained earnings	2,183	1,277	1,732	2,276	2,931
Equity, non-controlling interest	43	127	144	156	167
Total equity	**4,334**	**3,475**	**4,223**	**4,974**	**5,834**
Net debt	**2,021**	**1,662**	**1,193**	**821**	**234**
Total debt	4,101	4,145	4,647	4,668	4,689

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**-1,284**	**463**	**1,583**	**2,812**	**2,889**
Net profit	243	-916	561	556	666
Depreciation & amortization	114	106	101	96	80
Forex gains	-128	43	28	0	0
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-1,873	591	451	1,625	1,610
Other	360	639	442	535	534
Investing cash flow	**104**	**172**	**-96**	**-123**	**-138**
Investment	173	-116	-108	-139	-142
Increase in tangible assets	-38	-100	-76	-78	-87
Decrease in tangible assets	2	11	3	0	0
Other	-33	377	85	93	91
Financing cash flow	**1,170**	**57**	**264**	**21**	**21**
ST financial liabilities	71	-290	47	21	21
Debenture/LT financial liabilities	1,249	334	455	0	0
Equity	13	0	0	0	0
Cash dividend	0	-3	0	0	0
Other cash flow	-162	16	-238	0	0
Consolidation adj and other	190	-25	-847	-2,419	-2,268
Increase in cash & equivalents	**180**	**667**	**903**	**290**	**504**
Beginning cash & equivalents	982	1,162	1,829	2,732	3,023
Ending cash & equivalents	1,162	1,829	2,732	3,023	3,527
NOPLAT	403	-815	**850**	**843**	**1,003**
FCF	**-1,321**	**363**	**1,506**	**2,734**	**2,802**

Valuation

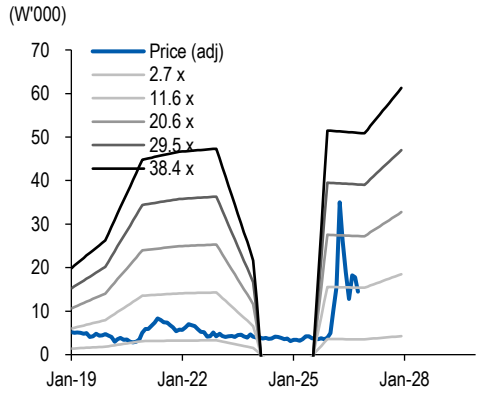
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	563	-2,195	1,340	1,323	1,594
BPS (won)	10,444	8,148	9,928	11,726	13,794
EBITDA/shr (won)	1,265	-1,686	2,328	2,302	2,650
SPS (won)	25,272	19,380	18,758	22,173	24,983
DPS (won)	0	0	0	0	0
P/E (x)	**6.8**	**-1.7**	**10.8**	**10.9**	**9.1**
P/B (x)	**0.4**	**0.4**	**1.5**	**1.2**	**1.0**
EV/EBITDA (x)	**6.9**	**-4.7**	**7.6**	**7.3**	**5.8**
P/S (x)	**0.2**	**0.2**	**0.8**	**0.7**	**0.6**

Key financial data

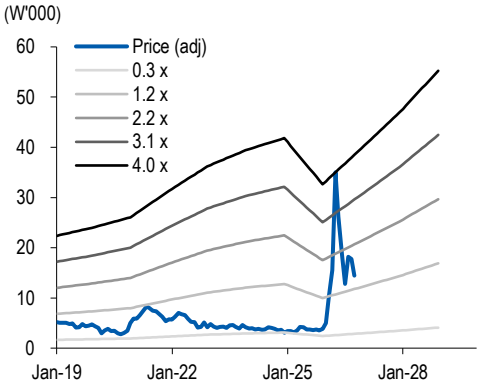
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-9.8**	**-23.3**	**-4.1**	**17.9**	**12.7**
Operating profit (%YoY)	**-39.2**	**TTR**	**TTB**	**-0.8**	**19.0**
Net profit, CI (%YoY)	**-54.3**	**TTR**	**TTB**	**-1.5**	**20.5**
Gross margin (%)	8.8	3.0	17.8	15.2	15.6
Operating margin (%)	**3.8**	**-10.1**	**11.0**	**9.2**	**9.8**
Net margin, CI (%)	2.2	-11.3	7.1	6.0	6.4
EBITDA margin (%)	5.0	-8.7	12.4	10.4	10.6
ROIC (%)	6.9	-14.3	18.2	14.7	15.7
ROA (%)	2.0	-7.0	3.9	3.4	3.7
ROE (%)	**5.6**	**-23.9**	**14.9**	**12.2**	**12.5**
Debt-to-equity (%)	192.1	284.5	259.8	239.0	219.8
Net debt-to-equity (%)	47.1	49.6	29.2	17.0	4.1
OP/financing cost (x)	2.5	-4.5	4.2	4.0	4.8

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

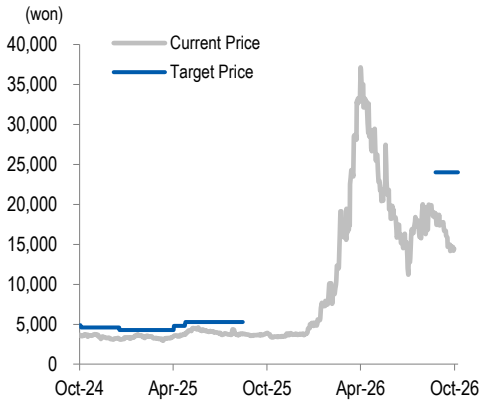
P/E band chart



P/B band chart



Daewoo E&C (047040 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/28	BUY	24,000	1 yr		
2026/09/21	BUY	24,000	1 yr		
2026/08/04	Not Rated	-	1 yr		
	Analyst changed				
2025/05/22	BUY	5,300	1 yr	-23.77	-13.02
2025/04/30	BUY	4,800	1 yr	-24.26	-21.04
2025/01/14	BUY	4,300	1 yr	-22.33	-13.37
2024/10/31	BUY	4,600	1 yr	-24.85	-18.59
2024/07/31	BUY	4,900	1 yr	-20.67	-13.06

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
  2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 28, 2026

Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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